# Warehouse Inventory Management Manual

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## 1. Purpose

This manual describes the standard procedures for receiving, storing, counting, and dispatching inventory at Meridian Holdings Group's distribution centres, to ensure inventory accuracy and operational efficiency.

## 2. Goods Receipt

2.1 All incoming deliveries must be checked against the corresponding Purchase Order before acceptance, verifying item description, quantity, and condition.

2.2 Discrepancies between the delivery and the Purchase Order must be recorded on a Goods Receipt Discrepancy Form (SCM-FORM-02) and reported to the Procurement Department within one working day.

2.3 Received goods must be scanned into the Warehouse Management System (WMS) at the point of receipt, generating a unique putaway task for warehouse staff.

## 3. Storage and Location Management

3.1 Items must be stored only in their assigned WMS bin location. Any deviation (e.g. due to space constraints) must be recorded as a location override in the WMS to maintain inventory accuracy.

3.2 Fast-moving items (Class A, per the Company's ABC inventory classification) should be stored in ground-level, easily accessible locations to minimise picking time.

## 4. Cycle Counting

4.1 A rolling cycle count programme is conducted continuously, with Class A items counted monthly, Class B items quarterly, and Class C items twice per year.

4.2 Count discrepancies exceeding 2% of expected quantity must be recounted by a second team member and, if confirmed, investigated by the Inventory Control Supervisor.

## 5. Order Picking and Dispatch

5.1 Orders are picked in the sequence generated by the WMS picking algorithm, which optimises pick paths to minimise travel time across the warehouse floor.

5.2 Before dispatch, all orders must pass through a quality check station verifying item count and condition against the packing slip.

## 6. Damaged and Returned Stock

6.1 Damaged stock identified during receipt, storage, or picking must be quarantined in the designated Damaged Goods Area and logged in the WMS as non-sellable inventory pending disposition.

6.2 Customer returns are processed through the Returns Bay and inspected within 48 hours of arrival to determine whether stock can be returned to sellable inventory.

## 7. Related Documents

- Workplace Health and Safety Manual (EN-MAN-01)
- Goods Receipt Discrepancy Form (SCM-FORM-02)

## 8. Approval

Approved by the Head of Supply Chain and Logistics on 20 February 2026.